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AT ASTRAZENECA'S GLOBAL Innovation and Technology Centre in Chennai, when you strap on a virtual reality (VR) headset and turn on their XR (AR/VR) tech set-up, you are transplanted into an interactive digital replica of the Covid-19 vaccine maker's drug production facility in Sweden. At the click of a button, you can be on your way to learning how to bottle vials of medicines, all without ever setting foot on the assembly line or touching the actual drugs. Developed entirely by their captive unit in India, the software module saves the pharma giant significant dollars. "The drugs produced by operators during training have to be discarded. That's a lot of waste. But when you train virtually, you reduce that waste and time. Think of it like pilot training on simulators," says Siva Padmanabhan, MD & and Head of Global Innovation and Technology Centre, AstraZeneca.

If Japan has an equivalent of GooglePay called Rakuten Pay, it is because the Japanese conglomerate Rakuten Group's Bengaluru Global Capability Centre (GCC) built the platform. The GCC even manages the entire product—its UX, the back-end, and the strat-

egy. "Whether adding a 'split pay' feature to the app or handling 50 million users coming to our e-commerce website or app, it's all done from here," says Sunil Gopinath, CEO of Rakuten India.

Another example is the US-based home improvement retailer Lowe's. It has been able to increase the number of transactions—up from 25 per cent earlier to 40-50 per cent of all transactions now—going through its self-checkout counters, thanks to the company's GCC in Bengaluru, which developed the system in-house at a fraction of the cost of a vendor product, and with far more stability. "It's being rolled out across the chain's 1,700 stores in the US. It helps Lowe's top line and bottom line," says Ankur Mittal, Senior Vice President-Technology & MD of Lowe's India.

It's raining GCCs across sectors in India and they are transitioning from 24x7 back-end operational support to the front and centre of global operations, driving cutting-edge innovations for their parent firms. GCCs are essentially the in-house tech outposts of multinational corporations (MNCs), some of which have commercial operations in India, while others don't. India is home to more than 1,580 captive centres, employing 1.6 million people, or one-fourth of the direct jobs currently provided by the IT services industry; and more are being announced frequently.

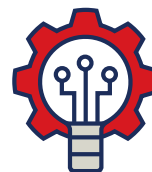
In fact, the \$40-billion-plus Indian GCC industry is doing in-house technology and innovation work that would have normally been outsourced to third-party IT services majors such as TCS, Infosys and Wipro. "We will have to make trade-offs on speed, user experience, ownership, culture, etc., if we decide to go out," says Rakuten's Gopinath. The eight-year-old Bengaluru unit is Rakuten's largest centre outside Japan. "More and more companies across sectors are



DESPITE TRADITIONAL IT SERVICES OUTSOURCING FIRMS SCALING BACK ON HIRING, GCCs ARE ESTIMATED TO HAVE ADDED A NET 364,000 NEW JOBS IN 2023



STARTED ORIGINALLY AS COST-EFFICIENT BACK-OFFICES FOR MNCs, GCCs IN INDIA ARE TRANSITIONING INTO IN-HOUSE TECH, INNOVATION AND RESEARCH CENTRES



AS TRADITIONAL NON-TECH FIRMS REALISE THE VALUE OF IN-HOUSE TECH SKILLS, INDIAN GCCs ARE CONTRIBUTING TO PRODUCT DEVELOPMENT AND INNOVATION

THE GCC